STRATEGY PAPER FOR THE BOARD · OCTOBER 2026

Jababeka's Transformation Strategy 2026–2030

From an industrial estate developer to a platform for infrastructure, investment, education, healthcare and innovation in Indonesia

Seven moves

the programme, tested against real numbers

One mix

which revenue we grow, and what it does to margin

Pilot phase

proposed workstreams for Board discussion

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Indicative management proposal for discussion. Targets in this paper are not an official financial forecast.

Infrastructure now supplies over half of revenue — the pivot is underway

WHAT INDUSTRY LEADERS TOLD THE SURVEY

82.8% stable or weaker business in the past two years

75.9% regulatory uncertainty as the main obstacle

72.4% weaker purchasing power

77.2% running on their own cash

34.5% expect stronger growth in the next 12 months

A perception survey of association leaders — read as direction, not forecast.

WHAT OUR OWN FIRST HALF SAYS

IDR bn	1H2025	1H2026
Infrastructure	1,221	1,398
Land & development	1,443	1,038
Total revenue	**2,664**	**2,436**



Infrastructure share of revenue:

45.8% (1H25)
→ 57.4% (1H26)

+Rp177 bn recurring
−Rp405 bn land
Net: −Rp228 bn

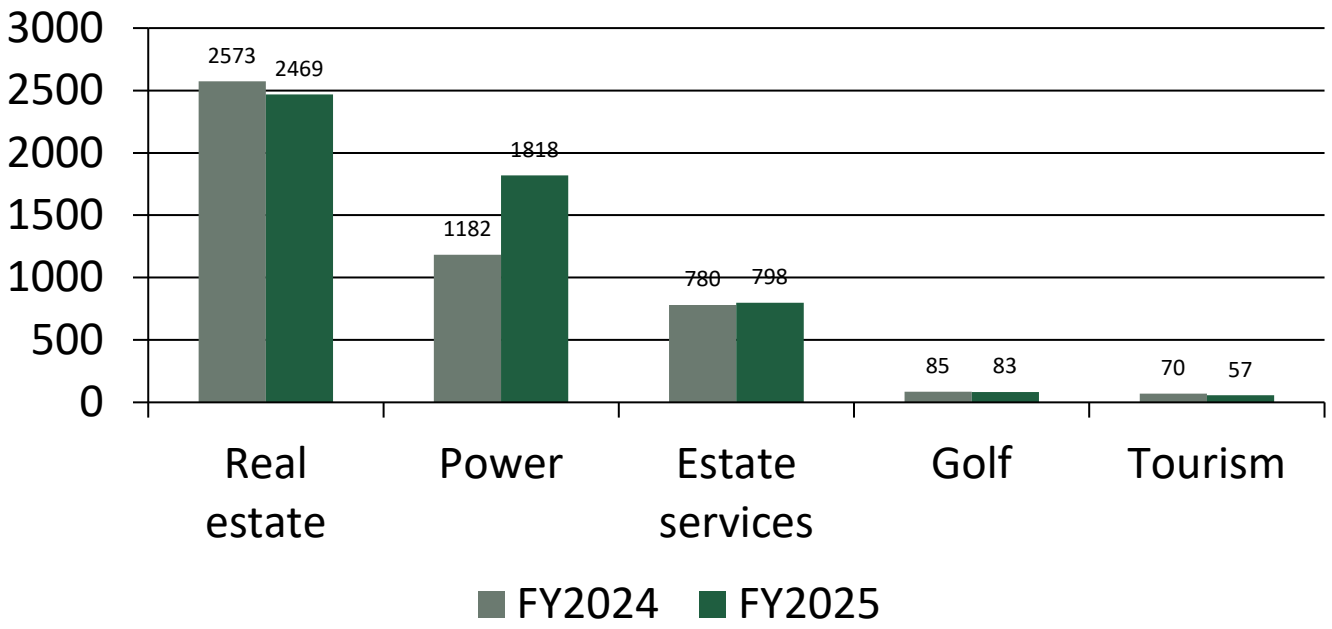
The next four years are about converting 2,000+ existing tenants into recurring revenue, and managing the margin mix between recurring services and land sales.

Seven moves, and what each one asks us to build

The move	What it asks us to build that we do not have	Proposed first step
1 Tenants first	A single view of each tenant: utility usage, complaints, expansion plans.	Open a tenant account register
2 More recurring income	A published price list for services, plus contracted power projects rather than ad-hoc selling.	Publish service prices; explore power projects
3 Education and health	One cooperation agreement with President University, FKPU and PURTH: defined services, prices, one counterpart.	List services; sign a cooperation agreement
4 Selective foreign investment	One offer sheet combining land, utilities, permits and workforce.	Build the offer sheet; test on live deals
5 A green Cikarang	A standing working group with the regency and the seven estates.	Convene the group; discuss shared issues
6 A financing platform	Funding beyond senior bank loans. Today nearly all debt is with one bank.	Explore project-finance alternatives
7 Staged expansion (100 Cities)	Clear rules on when capital is released, so new areas are funded by confirmed demand.	Agree release rules with the JV partner

Each move requires a product, contract or rule we do not have today. Building those is the work.

The margin trade-off: recurring revenue grows at a lower margin than land



Revenue by segment, IDR bn (audited). Power grew 54%; real estate declined 4%.

WHAT THE NUMBERS ADD UP

- Power revenue rose Rp636 bn in one year; land revenue declined Rp104 bn.
- Land carries a higher gross margin than power; the mix therefore needs to be managed deliberately rather than left to drift.
- Services and maintenance, at a mid-40s gross margin, are the natural bridge — they grow with the tenant programme and require no new land.
- Power contributes contracted EBITDA and cash visibility; its role is durability rather than peak margin.

SO THE MIX HAS TO BE CHOSEN, NOT DRIFTED INTO

— Grow recurring revenue where margin holds: services first, then contracted power volume.

— Services sold to tenants already in the estate — no new land, no new capex. Keep the land we do sell at Cikarang-grade prices.

Education, healthcare and the working city: services we can sell to tenants

What we already hold

- President University, FKPU and PURTH are inside the estate.
- More than 2,000 companies inside the estate need worker training and healthcare every day.
- YPUP and its schools, which remain independent.

What a tenant will pay for

- Certified operator and technician training, on the plant's shift pattern.
- Occupational health: medical checks, on-site clinic, emergency response.
- Testing and applied research for product and process problems.
- International-standard care for expatriate staff and families.

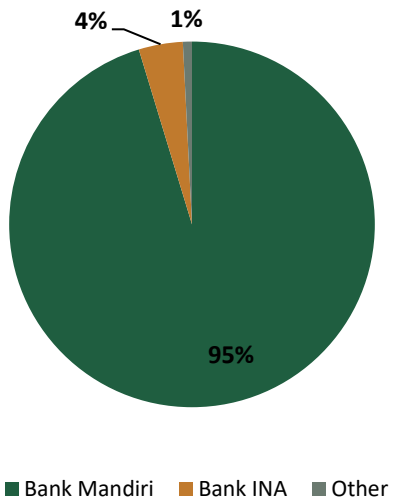
What we propose to do

- Sign a Cooperation Agreement with the three institutions: list services, set prices, name one counterpart.
- Pilot with a group of tenants in Cikarang.
- Convene a standing green-city group with the regency and the seven estates on transport, flooding, sanitation and schools.

A company comes for land, a permit and power. It stays for its workers' skills and healthcare. Those are billable, and no other estate in the corridor sells them as a package.

Balance sheet: we have debt capacity — what we lack is funding diversification

TOTAL DEBT, 30 JUN 26	CASH	NET DEBT / EBITDA	AVG COST OF DEBT
4,863 bn	3,205 bn	0.6 x	7.16 %
excl. leases	30 Jun 2026	FY2025 basis	30 Jun 2026



95% of debt is with one bank. Maturities: 84 bn in 2H26, 252 bn in 2027.

WHAT THIS MEANS FOR THE FUNDING PLATFORM

- Capacity is not the constraint: net debt is around 0.6x EBITDA, with cash covering near-term maturities comfortably.
- The constraint is concentration: nearly all borrowing sits with one bank, on one balance sheet.
- Explore project finance for utility assets: SPV, user contracts, lender off our balance sheet.
- Approach infrastructure funds, family offices and asset managers as funding partners.

Capacity is not the constraint. The watch-item is lender concentration: diversifying funding sources is a prudent working item, not an emergency.

The tariff advantage alone no longer sells — the package is what closes the deal

WHAT HAS CHANGED IN THE US–CHINA PICTURE

- The US–China tariff truce is in force for a defined period, subject to renewal.
- Tariffs on a substantial share of bilateral trade remain under a framework still being finalised.
- Earlier tariffs and technology restrictions remain in place; the direction is positive, but free-trade conditions have not returned.

Origin	Section 301
China	12.5%
Indonesia	10%
Vietnam	12.5%

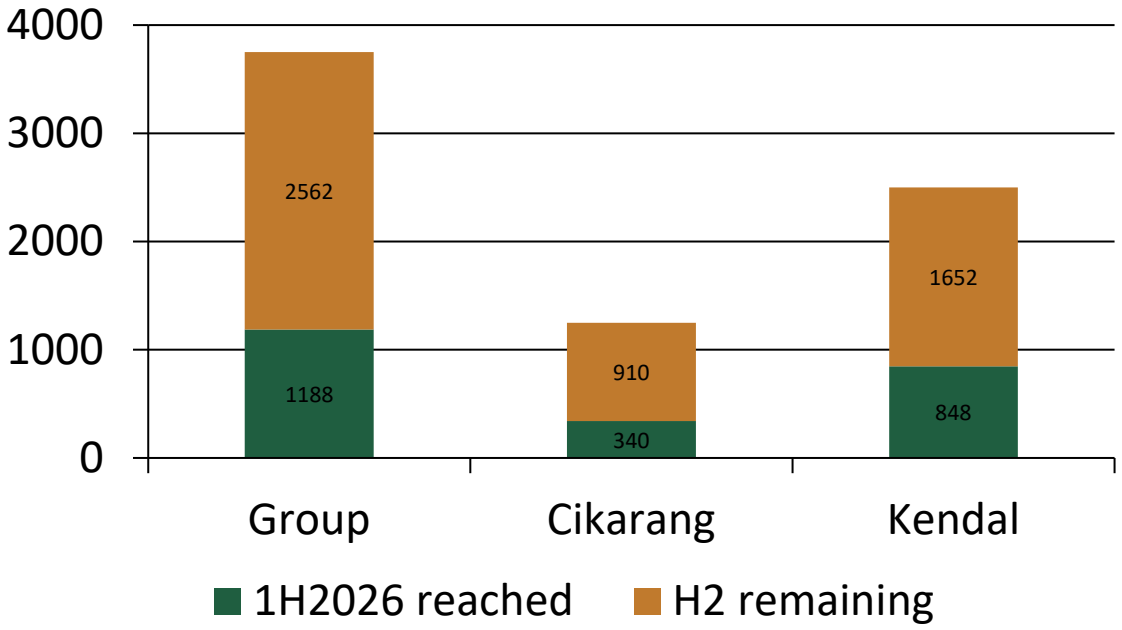
Additional Section 301 tariffs since July 2026. MFN rates and exclusions still move the final number.

SELL THE PACKAGE, NOT JUST THE TARIFF GAP

- For low-value goods (toys, small appliances, kitchenware), tariffs may normalise — the reason they moved out of China fades.
- What holds up under any truce: market access, a second production base (China+1), and an integrated estate that gets a plant running on day one.
- Target investors where the gap is real: 12.5% from China versus 10% from Indonesia, plus sectors under review.
- Sell in this order: market access, utilities and permits, workforce, then the land.

Areas: Cikarang — the full package. Kendal — export industry, demand-funded with the JV partner. Morotai — only with a committed investor. Tanjung Lesung — with operators.

H2 2026 sales target: Rp2,562 bn still to sign



Marketing sales vs 2026 target of Rp3,750 bn. IDR bn.

THE PIPELINE, IN BRIEF

- About 71% of 1H2026 sales came from Kendal
- Management reports about 140 ha of demand in discussion for H2 — a pipeline, not a forecast.
- It is not yet broken down by area; the Cikarang versus Kendal split is not known.
- Asking prices vary widely by location. The pipeline is a reason to accelerate conversion, not a number to multiply.

WHAT FOCUS LOOKS LIKE

— Rank every live deal by probability and blocker; review weekly with sales leads.

— Clear titles and handovers first. Hold new capex until the pilot review.

Three workstreams for Board discussion

WORKSTREAM 1

Establish the facts

Owner to be confirmed

- Every business unit submits a capex register: each project, committed spend, approval status, expected return.
- Finance runs a cash forecast by unit, refreshed regularly.
- Survey the top tenants: utility spend, complaints, expansion plans, hiring.
- Sales ranks every live deal by probability and blocker.

WORKSTREAM 2

Open the tenant door

Owner to be confirmed

- One tenant desk, one named account owner for major accounts.
- Publish prices for a set of services: energy efficiency, water, waste, logistics, training.
- Sign a cooperation agreement with President University, FKPU and PURTH for selected services.
- Convene the green-city group with the regency and the seven estates.

WORKSTREAM 3

Prepare investment and reporting

Owner to be confirmed

- Bring a small set of infrastructure projects to the Board: cash-flow model, funding partner, schedule.
- Explore one project-finance structure and test it with partner types.
- Run an AI pilot in administration: named process, owner and measure.
- Report on the tenant register, the capex register and the conversion pipeline.

This is a proposed agenda for discussion. Owners and timing will be confirmed after the Board aligns on direction.

The monthly report: one page per business unit

THE MONTHLY PACK

- ✓ Revenue and gross profit by line, with the volume behind them.
- ✓ Operating efficiency: energy and water sold per tenant, downtime, waste processed, dry-port throughput.
- ✓ Tenant movements: new contracts, arrears, complaints raised and closed, accounts at risk.
- ✓ Capex: spend against the approved register, and any project that has moved in scope or schedule.
- ✓ Conversion: deals signed, deals slipped, and the reason for each slip.
- ✓ People: headcount and training days, so the tenant programme is staffed realistically.

One page per unit, the same page every month — comparison is between months, not between presentations.

WHAT THE TRANSFORMATION COMMITTEE TAKES UP

- ➢ Tenant productivity: what major accounts asked for, and what was delivered.
- ➢ Infrastructure growth: the project pipeline, the funding partner for each, the schedule.
- ➢ Investment discipline: every capex request, the case behind it, and the decision taken.
- ➢ Education and health: the cooperation agreement, the pilot, the revenue it produces.
- ➢ Sustainable estates: the shared issues with the regency and the outcome.

Five standing agendas, each fed by one section of the monthly pack.

Five indicative directions, and what each one requires

Indicative directions for the Board to discuss.

Direction	What "good" looks like	What has to happen
Recurring revenue growth	Steady growth in recurring revenue, alongside improving profit and cash quality	A published service price list and contracted power volume
Tenant satisfaction	Measurably higher tenant satisfaction and fewer unresolved complaints	A single tenant desk, and complaints that are actually closed out
Administration	Routine administrative processes progressively automated, reducing manual effort	A process inventory first — otherwise there is nothing to automate
New investment	New investment only where user contracts, returns and funding are clear	The capex register, reviewed project by project
New areas	Large-scale capital released only after feasibility and investor commitment are confirmed	Area-level release rules agreed with the JV partner

Land brings companies in. Five service lines keep them here.

1	**Power**	contracted supply, and the efficiency service around it
2	**Water**	clean water in, treated water and waste out
3	**Logistics**	dry port, warehousing, customs and trucking
4	**Estate services**	maintenance, security, permits, grounds
5	**Skills and health**	training, occupational health, clinics

On their own, these are five small businesses. Sold to the same tenant under one contract, they are the reason that tenant expands here rather than elsewhere.

AND THE CITY AROUND IT

Factories need workers who can commute, streets that do not flood, schools for their children and a clinic that answers at night. That is the green-city agenda — and it is also a sales argument no competing estate in the corridor can copy quickly.

WHAT THE PAPER SAYS, IN ONE LINE

"An industrial estate is a lasting economic and social ecosystem, where business and the surrounding community grow together."

Five priorities and three decisions for the Board

1. **Protect cash flow**
2. **Grow recurring income**
3. **Support existing tenants**
4. **Attract quality investment**
5. **Build future cities**

THREE DECISIONS

1. **Approve the pilot workstreams and their three workstreams.**

   Tenant register and desk, service catalogue and pricing, capex register, conversion list.

2. **Name the Transformation Committee 2026–2030, chaired by the Board.**

   Five standing agendas, fed by the monthly report.

3. **Hold large capex until the pilot review, so cash goes to conversion.**

THE AIM

Not an industrial property company that also sells utilities, but a developer of industrial ecosystems and infrastructure with strong recurring income — supported by the people it trains and the city it builds.